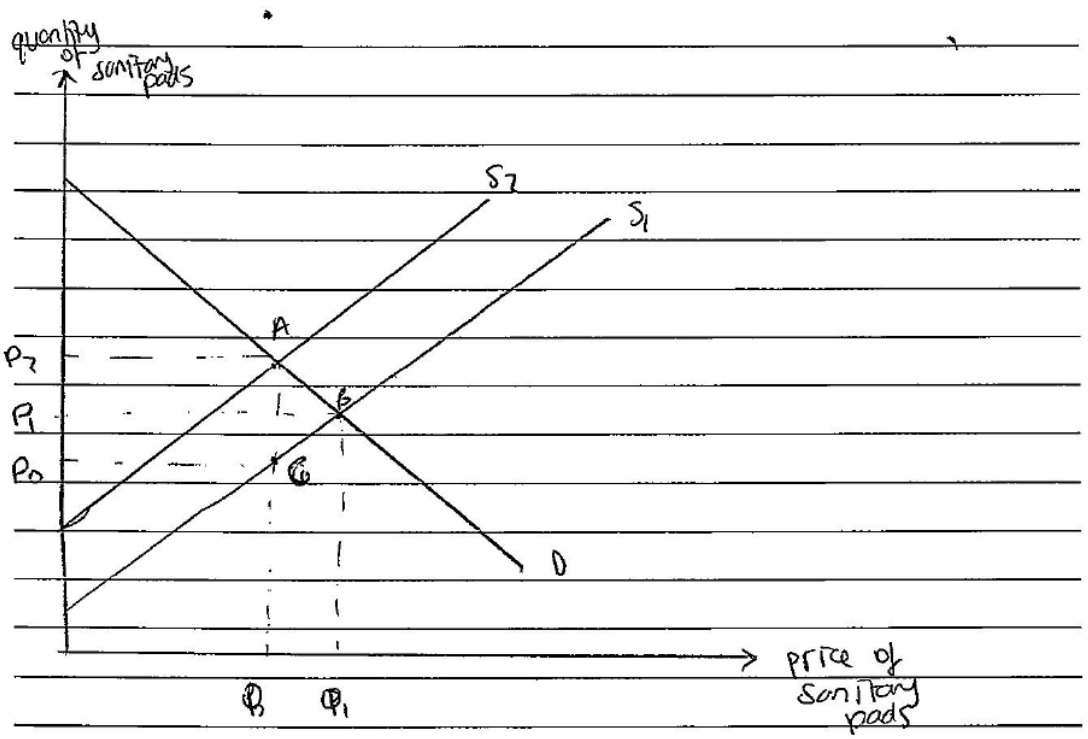
1 b

Currently in Turkey, sanitary pods have been subject to an indirect tax of 8%.



~~Since the amount of~~

Since indirect tax is the amount of money that needs to be payed to the government by the producer, the cost of production for Turkish

suppliers have increased, therefore resulting in a decrease in supply shown by the leftwards shift of S_1 to S_2. With this shift, the market price of sanitary pads has increased from P_1 to P_2, and the quantity has decreased from Q_1 to Q_2. As a result, fewer women are able to buy feminine hygiene products.

This has resulted in public outcry in the country and has drawn significant attention with complaints coming from feminist groups in the Turkey, online protests were made for the Turkish government to remove or reduce the amount of tax on sanitary pads, since it is an essential hygiene product. Therefore this has resulted in a decreased sense of trust for the government. With the increase in price, lower income women are more likely to get affected from the policy, as monthly pad purchases make up a more significant portion of their income than high earning women. When these women can not afford sanitary pads, they are more likely to resort to other less hygienic solutions. In a country like Turkey where low income women already lack access to hygienic menstrual products, this will result in health issues in the future.

Although the government seems to be better off, with the government revenue equal to the area $(P_2 - A - C - P_0)$, the some amount of the government income from the imposed tax will be spent on health services in the future, as infections and diseases are a result of lack of access to hygienic products.

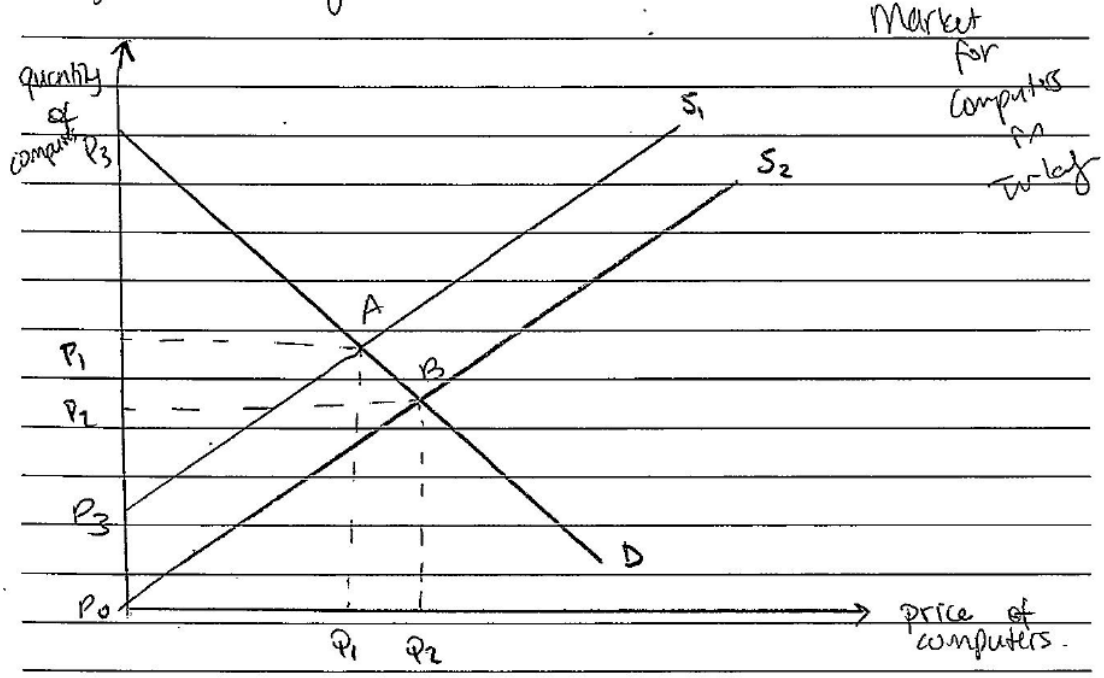
Even though sanitary pad suppliers are worse off with a decreasing supply from S_1 to S_2, suppliers of different markets might benefit from the indirect tax. Since the increase in pad prices, menstrual cups, which are reusable supplementary products to sanitary pads, have been subject to higher demand levels. Instead of purchasing expensive pads every month, some women have chosen to buy menstrual cups, which are bought only once since they are reusable. Therefore suppliers of menstrual cups are better off. With this, the negative environmental externalities resulting from sanitary pad waste will be reduced as well, adding a further benefit of the policy.

However menstrual cups are not cheap as well, and therefore the low income women of need are still at a major disadvantage and possible health risk, therefore the indirect tax does more harm than good, especially to lower income women. Instead of an indirect tax on sanitary pads, an indirect tax on other products could be placed, so that the government can still have access to the

tax revenue while women stay unaffected. A tax on sugary packaged goods can be a substitute; since [redacted] a decreased consumption of sugar will also lead to better health levels in Turkish citizens for the future.

1 a

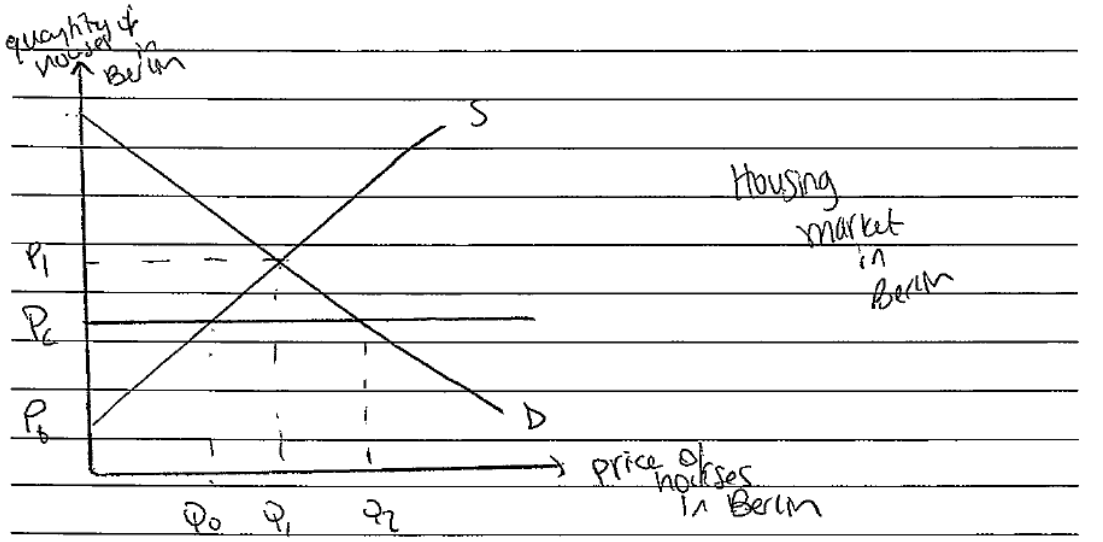
Governments intervene in markets for multiple reasons, two of them being providing support to firms, and promoting equity within the country. Producer subsidies, which is money given by the government to producers in order to decrease their production costs, are an example way of the government supporting local firms; while price ceilings (legal maximum prices set by the government) act to protect customers, thus promoting equity by providing equal opportunities to everyone in society.



For example, if the Turkish government were to grant a subsidy to local computer producing companies, their production costs decrease, therefore the supply curve shifts from S_1 to S_2, resulting in an increase in supply. After the shift in the supply curve, the price for computers in Turkey decrease from P_1 to P_2, and a greater number of computers are sold, with an increase from Q_1 to Q_2.

The increases in the price and quantity of computers sold, overall increase firm revenue from $P_1 \times Q_1$ to $P_2 \times Q_2$. Therefore the firms are supported in their production and their producer surplus also increases from the area $(P_3 - A - P_1)$ to $(P_3 - B - P_2)$.

The consumers are also better off, with a decrease in price and an increase in consumer surplus from the area $(P_1 - A - P_3)$ to $(P_2 - B - P_0)$. However the government is worse off because they have spent money of their budgets that they could have used elsewhere, resulting in a net welfare loss.



~~As is the case in Berlin, the government~~ An example for price ceilings is the German government setting a legal ~~p~~ maximum prices for rent in Berlin. This is done in order to protect people looking for houses to rent in Berlin, since a high demand in the region results in a market equilibrium with too high of a price. To prevent this and to ~~ma~~ increase the ability ~~to~~ of low income earners to rent a house in the region, the government has set a price ceiling, ~~PRICE CEILING~~ an approach that provides equity to consumers.

After the price ceiling, housing prices fall from P_1 to P_c, enabling more customers to afford housing. However with a lower price, suppliers are only willing to supply Q_0 while the consumers demand Q_2. This results in ~~the~~ a shortage ($Q_2 - Q_0$)